TABLE 2.3

Structure and Performance of Domestic Finance: G5 and BRICS

	Share of Fixed Investment Financed (%)[a]	Credit/GDP Ratio	Loan to Deposit Spread[b]	Z-Score	Market Capitalization/GDP[c]	Bond Maturity (yr)[d]
Desired score	High	High	Low	High	High	High
G5						
Britain	…	161.7	…	23.1	130.8	12.9
France	…	114.3	…	9.3	121.4	7.2
Germany	31.9	100.5	…	33.5	63.7	6.8
Japan	…	106.9	1.8	35.5	139.8	6.9
United States	…	49.4	…	28.9	196.1	29.3
G5 Mean	…	*106.6*	…	*26.01*	*130.4*	*12.6*
BRICS						
Brazil	34.1	61.7	15.8	6.5	88.1	7.5
China	7.7	124.4	3.0	21.2	93.0	4.7
India	28.8	47.9	…	34.1	74.6	1.7
Russia	9.1	44.3	3.8	3.1	56.6	8.5
South Africa	28.5	67.5	3.3	19.4	172.7	11.4
BRICS Mean	*21.6*	*69.2*	*6.5*	*16.8*	*96.9*	*6.8*
Median, 180 Countries	…	*36.1*	*6.2*	*14.3*	*40.6*	…

[a] Percentage of fixed investment financed through the country's financial system.

[b] Excess of loan interest rates over deposit interest rates.

[c] Stock market capitalization/GDP.

[d] Average maturity, corporate bonds (years).

Source: World Bank. *Global Financial Development Report 2015/2016.* Washington, DC: World Bank, 2016: Appendices A and B. Scores in each category reflect the latest available, usually 2013 or 2014.

However, as the recent global financial crisis amply demonstrated, the size and valuation of a nation's stock market may shift quite dramatically overnight. Therefore, it is important to look at more enduring measures of national financial prowess. Table 2.3 looks at the standard comparative measures of financial depth, health, and sophistication. Since not all the indicators are well known, its first row shows whether a higher or a lower score is considered desirable. The table reports both individual totals and the unweighted group mean for the G5 largest advanced industrial countries, as well as for the BRICS, while its final row shows the median score for the entire group of 180 countries. Not surprisingly, the big picture that emerges from Table 2.3 is that the domestic financial sectors within the G5 advanced industrial countries are, on most of these measured dimensions, more sophisticated and developed than those of the BRICS. However, the BRICS usually fall in the upper half of the full country distribution.

The most important performance indicator may be the first, which shows the percentage of total fixed investment by the corporate sector that has been intermediated through the country's financial system.[117] The